

Dynamic Learning and Human Capital Development

Susanna Grigoryan

Recent Staff Member, Monetary Policy Department, Central Bank of Armenia

Student, Global Forecasting School

November 2025

Note

1. Human Capital as a Core Component of FPAS Mark II

FPAS Mark II transforms not only analytical tools but also the institutional processes through which policymaking institutions learn, collaborate, and develop expertise. For a small open economy like Armenia-where uncertainty is persistent and shocks frequently originate from external sources-human capital becomes a core pillar of the policy framework.

Credibility is sustained not only through correct decisions, but through the institution's demonstrated ability to learn continuously. Staff must be capable of integrating data, scenario analysis, modelling tools, , and judgment, a skillset cultivated through structured training and experience.

Human capital is treated as a macroeconomic asset: the quality of central bank expertise determines the quality of policy decisions.

2. Continuous Learning and Institutional Memory

The FPAS Mark II framework embeds learning directly into the 29-day policy cycle. After each round, teams conduct structured post-mortems evaluating:

- scenario relevance,
- communication clarity,
- interpretation of risks, and
- the behaviour of key relationships (e.g., Phillips Curve, expectations, transmission channels).

The emphasis is not on avoiding mistakes but on learning faster than others. Each cycle creates institutional memory, ensuring that lessons carry into the next round. This

enhances credibility by demonstrating adaptability and humility-key virtues in an uncertain world.

3. The Rotation System: Building Versatility and Reducing Silos

FPAS Mark II introduces a structured rotation mechanism across teams. Analysts rotate through forecasting, scenario development, external-sector monitoring, financial-cycle analysis, and inflation decomposition. Rotations achieve several goals:

- prevent analytical silos,
- broaden staff expertise,
- strengthen institutional resilience, and
- ensure continuity even when key individuals change roles.

By broadening skillsets and promoting cross-team understanding, the rotation system supports a cohesive institutional culture centred on learning.

Monetary Policy Department (MPD) at the Central Bank of Armenia is divided into four teams of six macroeconomists. In each policy round, two of these teams are actively involved. One team takes the lead and does the “heavy lifting” of building and running the scenarios, while the second team provides tactical and technical support to the projection work.

In each round, the Team Lead of the leading team assumes, on a rotating basis, the role of Production (Policy Round) Coordinator. The Coordinator acts as the intellectual lead for that round, guiding the daily work of the team, shaping the scenario narratives, and presenting the main content to the Board. Throughout the round, the Production Coordinator works closely with, and is supported by, the Head of the MPD.

Starting from the Kick-Off Meeting and continuing up to Decision Day, two members of the leading team are appointed as Board Coordinators. These are experienced Level 2 (or higher) economists, with strong analytical and professional skills and the ability to manage time and resources effectively. Their role is to work directly with individual Board members.

After the Kick-Off Meeting, the Board Coordinators help Board members turn their ideas, concerns, and risk assessments—first expressed at the Kick-Off and then refined through formal and informal discussions—into one-page Initial Macroeconomic Risk Assessments. These one-pagers are drafted in both Armenian and English. Once the Board members are satisfied, the coordinators submit the one-pagers to the Production Coordinator, the Head of the MPD, and the rest of the leading team as inputs into the taxonomy of scenarios.

Once the Case A and Case B scenarios are finalized, the policy decision is taken, and the Monetary Policy Report is published, the policymaking round is considered complete. The focus then shifts to preparing for the next round. In this transition period, the team that served as “back-up” in the previous round becomes the lead team for the upcoming round. That team is responsible for taking the lead in weekly macroeconomic monitoring meetings and being ready with the key analysis and narratives for the next Kick-Off Meeting.

Over the course of a calendar year, each of the four MPD teams has the opportunity to lead one policy round, serve as the supporting team in another, and devote the remaining two quarters to research and development. This rotation reinforces the sustainability of the process and supports higher productivity, efficiency, collaboration, and motivation across the department.

During any given policymaking round, the remaining two MPD teams are less directly involved in day-to-day operations. They provide targeted support when needed, but their main focus is “preparing for the future.” This includes **policy-relevant research, further development and refinement of the analytical toolkit, current analysis on specific structural or thematic issues, and work on individual professional development.** Often, these efforts feed into special analyses or boxes that can be included in the Monetary Policy Report for the ongoing round.

In the two to three quarters when teams are not directly involved in the policy round, staff concentrate fully on research and development. By dedicating more than half the year to this work, the department creates space for deeper skill-building, innovation, and continuous improvement—ensuring that the analytical capacity of the staff keeps strengthening over time.

4. Internal Training Routines and Capacity Building – Dynamic Learning Environment

Learning is reinforced by internal routines designed to ensure continuous development:

- Daily analytical briefings
- Weekly seminars on different macro or policy-relevant topics
- Monthly cross-team workshops
- Case-based exercises using past policy rounds
- Internal courses on expectations, nonlinearities, and risk assessment.

Improving the quality of monetary policymaking is **not at all a matter of building better models**—it also requires an internal culture that encourages curiosity, discipline, and growth. Under FPAS Mark II, the CBA aims to foster such a culture through what we call a **Dynamic Learning Environment**, or DLE. The idea is simple: the department functions best when its members learn constantly, develop strong analytical habits, and push one another to higher standards.

The DLE moves away from rigid, top-down approaches to training. Instead of relying on formal lectures or a passive flow of information, economists are encouraged to engage directly with problems, learn from one another, and refine their thinking continuously. Much of this learning happens in real time—through discussion, collaboration, and shared responsibility for the department’s work.

At the heart of this environment is a high level of personal commitment. Staff are expected to take their development seriously and to approach their work with ambition and accountability. Traits such as initiative, critical thinking reliability, and a willingness to learn from mistakes are essential. Without those qualities, it becomes difficult for teams to reach the pace and depth of learning required in a modern policy institution.

Another key feature of the DLE is its minimized hierarchy. Expertise is distributed across the team, and everyone—junior or senior—is expected to contribute. Economists learn from each other through ongoing exchanges rather than strictly through formal teaching. This approach helps avoid two common pitfalls: one in which staff assume the institution will provide all necessary knowledge, and another in which the institution assumes staff already possess strong fundamentals. The DLE is designed to close both gaps.

To support this style of learning, staff have access to a broad mix of training tools. These include structured courses, informal seminars, online resources, and self-directed study programs shaped to their individual needs. New staff and Board members can draw on a dedicated onboarding platform that explains the framework, its analytical foundations, and the basics of monetary and macroeconomic policy. The Global Forecasting School—run jointly with The Better Policy Project—gives staff exposure to real policy debates and hands-on analytical work under expert supervision. It functions as an analytical workshop rather than a classroom.

Coaching and collaboration reinforce this environment. Senior economists and managers provide regular guidance on analytical tasks, presentations, and ongoing research. Teams share knowledge openly, and work is often done collectively so that insights circulate quickly. A structured mentorship system pairs less experienced staff with more seasoned colleagues, who offer both technical advice and broader career guidance.

Crucial to the DLE is the idea that feedback should be part of everyday life, not an occasional formality. Standard performance reviews are too infrequent and too narrow

to support rapid development. Instead, staff are encouraged to exchange feedback consistently—during weekly monitoring meetings, after presentations, and in informal conversations. Feedback is meant to be constructive, specific, and timely, helping staff recognize strengths and address weaknesses as they arise. This process depends strongly on mutual respect; giving thoughtful feedback is treated as a responsibility, and receiving it with openness is an expectation.

Finally, a truly dynamic learning environment must be outward-looking. Economists cannot develop in isolation. For that reason, the department makes a deliberate effort to expose staff to thinking from around the world. International advisers, visiting researchers, exchange students, and colleagues from peer institutions bring new perspectives and help broaden the team’s understanding of both technical issues and institutional practice. Regular seminars, workshops, and joint sessions ensure that even junior staff engage with global ideas, rather than relying solely on internal experience.

Together, these elements form a workplace where learning is continuous, expectations are high, and growth is shared across the team. The Dynamic Learning Environment is not a programme or a checklist—it is the culture that supports the FPAS Mark II framework and enables the institution to keep improving year after year.

These routines create a pipeline of future leaders capable of being at the frontiers of the profession.

5. Standards for Macroeconomists in the Monetary Policy Department

The effectiveness of the MPD depends on the depth, discipline, and professionalism of its economists. To contribute meaningfully to the policy process, team members are expected to meet high standards across four core areas of work. These standards define what it means to be a macroeconomist in a modern central bank operating under FPAS Mark II.

Current Economic Analysis: Economists must be able to conduct thorough assessments of the real, external, financial, and fiscal sectors. This involves interpreting historical patterns, understanding the current conjuncture, and identifying near-term dynamics. High-quality current analysis requires distinguishing between temporary noise and persistent trends, formulating plausible hypotheses about the underlying forces in the economy, and clearly articulating the sources of uncertainty that matter for monetary policy.

Scenario Building and Policy Analysis: A central responsibility of MPD economists is the construction of medium-term macroeconomic narratives within the New Keynesian framework. This work goes beyond modeling: it requires weaving together coherent stories, explaining the economic drivers in each scenario, and assessing their policy

implications. Economists must be able to evaluate alternative paths for the economy, link these paths to appropriate policy responses, and support the Board’s least-regrets decision-making.

Communication and Policy Documents: Clear communication is essential for effective policymaking. Team members are expected to contribute to the drafting of policy notes, internal briefings, presentations, and the Monetary Policy Report. This requires the ability to translate complex analysis into clear, structured narratives tailored to different audiences—ranging from Board members to the broader public—while preserving accuracy and analytical rigor.

Modern Macroeconomics and Research: Economists must possess strong foundations in modern macroeconomic theory, complemented by working knowledge of relevant microeconomic concepts. Beyond routine operational work, they are expected to engage in theoretical and empirical research that informs policy debates, advances the department’s analytical capabilities, and contributes to the institution’s broader research agenda.

To meet these standards, team members must also maintain strong bilingual proficiency in Armenian and English, demonstrate excellent analytical and quantitative skills, and be comfortable working with modern programming languages such as R, Python, MATLAB, or Julia. These technical and linguistic abilities form the backbone of high-quality analysis and ensure that staff can operate effectively within the department’s collaborative and fast-paced environment.

6. GFS Levels and Certification

A core pillar of FPAS Mark II is a human-capital system designed to produce world-class macroeconomists who can operate confidently in an environment defined by uncertainty, nonlinear dynamics, and continuous learning. The system rests on clear expectations, transparent standards, and a structured progression path. Each economist in the MPD advances through a sequence of qualification levels, with each level reflecting a distinct combination of skills: technical expertise, analytical depth, communication ability, policy judgment, and leadership.

Progression is not automatic. It is earned through demonstrated competence, documented evidence, and a commitment to continuous improvement. In the early levels the emphasis is on mastering current analysis, scenario building, and clear communication. As economists advance, expectations shift toward research leadership, model development, mentoring, and eventually shaping the analytical framework of the institution. Time limits ensure that careers progress, skills remain fresh, and the MPD

continues to benefit from a dynamic mix of perspectives. Equally important, the system supports the broader country: economists who “graduate out” of the department carry with them rigorous analytical habits and a culture of disciplined thinking, strengthening institutions across Armenia.

Below we describe each level in turn, using three dimensions—requirements, assessment criteria and time expectations—to clarify what it means to perform at the standards of FPAS Mark II.

Level 0 (and Level 0e – entry stage)

Requirements: Level 0 economists must be able to interpret incoming data, identify the main macroeconomic drivers, and propose sensible narratives about current conditions. They must show that they can build the basic statistical, econometric, and modelling tools used in day-to-day analysis and demonstrate a firm understanding of how the domestic and global economy function. Written work, presentations, and charts should be clear, well organised, and analytically sound.

Assessment criteria: Evaluation focuses on the strength of current analysis, the quality of narratives, the correctness of the analytical tools they develop, and their ability to communicate ideas in both written and oral formats both in Armenian and English.

Time requirement: Around 1 to 1.5 years, including the entry period during which new hires are expected to reach full Level 0.

Level 1

Requirements: Level 1 economists move from describing the present to constructing the future. They should be able to motivate, calibrate, and analyze scenarios, drawing on semi-structural or structural frameworks. Their stories must connect the economics to the policy implications and reflect a solid grasp of monetary and economic policy challenges.

Assessment criteria: Performance is measured by the quality of scenario design, the coherence of economic stories, and the clarity with which these messages are communicated to policymakers.

Time requirement: About 1 to 1.5 years.

Level 2

Requirements: Level 2 economists are expected to conduct independent research and see it through from question to conclusion. They should be able to draft a research

proposal, choose methods appropriate to the topic, and implement empirical or theoretical techniques. At this level, economists must also be able to prepare a full Monetary Policy Report without supervision and produce research papers that meet internal or international standards.

Assessment criteria: The main considerations are depth of research, project management skills, clarity of exposition, and the ability to translate complex economic ideas for policymakers.

Time requirement: Roughly 1 to 1.5 years.

Level 3

Requirements: Level 3 economists are technical anchors within the department. In addition to Level 2 skills they should be able to design, simulate, and estimate models and build analytical tools that support the broader framework. They contribute externally—as speakers, panelists, or interviewees—and internally by mentoring junior staff and preparing training materials.

Assessment criteria: Evaluation focuses on the originality and usefulness of tools and models, the quality of external engagement, and the economist’s role in supporting the growth of colleagues.

Time requirement: About 1 to 1.5 years.

Level 4

Requirements: Economists at Level 4 are expected to take on leadership responsibilities. They must be able to motivate teams, build strong working relationships, manage complex projects, and guide colleagues through constructive feedback and clear plans. They help set direction for analytical and policy work.

Assessment criteria: Assessment focuses on leadership, team management, ability to deliver complex projects, and the quality of engagement with staff.

Time requirement: Roughly 2 to 2.5 years.

Levels 5 and 6

Requirements: The top levels are for economists who shape the institutional framework. They should be able to negotiate and manage research partnerships, articulate a clear analytical vision for the institution, and lead major framework-development initiatives. They often represent the CBA externally and advise peer institutions on macroeconomic policy.

Assessment criteria: Performance is judged by strategic impact—whether the economist strengthens the institution’s analytical direction, builds external networks, and contributes meaningfully to policy development in Armenia and abroad.

Time requirement: Around 2 to 2.5 years for each level.

Literature & Further Reading

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Script

Hello everyone, I’m Susanna Grigoryan from the Central Bank of Armenia and a Level One student at the Global Forecasting School. In this session, I’d like to talk about one of the most important parts of FPAS Mark II that often receives less attention than models and scenarios: human capital.

FPAS Mark II is not only about upgrading analytical tools; it is about transforming how a policymaking institution learns, collaborates, and builds expertise over time. For a small open economy like Armenia, where shocks frequently originate from abroad and

uncertainty is a permanent feature of the environment, people are just as important as models. In this framework, human capital is treated as a macroeconomic asset. The quality of the central bank's analysis and judgment directly shapes the quality of its policy decisions.

Learning is embedded directly into the 29-day policy cycle. Each round ends with a structured review where teams look back at what happened. They examine how accurate the forecasts were, whether the chosen scenarios were relevant to the shocks that ultimately mattered, how clearly the risks were communicated, and how key relationships behaved in practice—such as the Phillips curve, expectations, and transmission channels. The goal is not to avoid mistakes; that is impossible in a world of deep uncertainty. The goal is to learn faster than before and faster than others. Each policy round adds to institutional memory, so that lessons are not lost when people move on or roles change. This repeated learning strengthens credibility because it shows that the institution is adaptable and humble in the face of uncertainty.

A key innovation of FPAS Mark II at the CBA is the rotation system in the Monetary Policy Department. The department is organized into four teams of six macroeconomists. In each policy round, two of these teams are actively involved. One team leads and does the heavy lifting of building and running scenarios. The second team provides tactical and technical support. In the next round, they switch roles. Over the course of a year, each team leads one round, supports another, and spends the remaining time on research and development.

This rotation serves several purposes at once. It prevents analytical silos by exposing economists to different parts of the framework—forecasting, scenario design, external-sector monitoring, financial-cycle analysis, inflation decomposition etc. It broadens staff expertise and helps ensure that the department remains resilient even when key people change roles or leave. It also creates continuity: when a team that was previously in a supporting role becomes the lead team, it can build directly on the analysis, narratives, and lessons of the previous round.

Within each round, there are also clearly defined leadership roles. The team lead of the leading team becomes the Production, or Policy Round, Coordinator. This person acts as the intellectual anchor of the round, guiding the daily work, shaping the scenario narratives, and presenting the main content to the Board. The Coordinator works closely with the Head of the Monetary Policy Department throughout the process.

Two experienced economists from the leading team serve as Board Coordinators from the Kick-Off Meeting up to Decision Day. Their job is to work directly with individual Board

members, helping them turn their ideas, concerns, and risk assessments into clear one-page Initial Macroeconomic Risk Assessments in both Armenian and English. These one-pagers are then shared with the Production Coordinator, the Head of MPD, and the rest of the team, and they become a key input into the taxonomy of scenarios.

Once the Case A and Case B scenarios are finalized, the policy decision is taken, and the Monetary Policy Report is published, the round formally ends. Attention then shifts to the next cycle. The team that served as back-up now becomes the lead team and takes over responsibility for weekly monitoring meetings and preparation for the next Kick-Off. The two remaining teams, who are not directly involved in day-to-day policy work, focus mainly on the future: they work on research projects, improve the analytical toolkit, analyze structural themes, and invest in their own professional development. Often, their work feeds into special boxes or background studies that appear in upcoming reports. Because more than half of the year is devoted to this kind of research and development, the department creates space for deeper skill-building and innovation, rather than treating learning as an afterthought.

All of this is supported by what we call the Dynamic Learning Environment. The idea is straightforward: the department functions best when its members are constantly learning, developing strong analytical habits, and pushing each other to higher standards. Instead of relying on rigid, top-down training, economists are encouraged to engage directly with real problems, learn from one another, and refine their thinking continuously. Much of the learning happens in real time—in daily monitoring meetings, in discussions around scenarios, in preparation for Board briefings, and in joint work on the Monetary Policy Report.

This environment demands a high level of personal commitment. Staff are expected to take their own development seriously and to approach their work with ambition and accountability. Initiative, critical thinking, reliability, and a willingness to learn from mistakes are not optional extras; they are prerequisites. Without them, it is difficult to sustain the pace of learning needed in a modern policy institution.

Another defining feature of the Dynamic Learning Environment is that hierarchy is kept deliberately light on the analytical side. Expertise is widely distributed, and everyone, from junior economists to senior staff, is expected to contribute. Learning happens horizontally as much as it does vertically. This helps avoid two common problems: staff waiting passively for the institution to “teach them everything,” and institutions assuming that staff already possess all the necessary fundamentals. The DLE is designed to close both gaps.

To support this style of learning, staff have access to a broad set of tools: structured internal courses, informal seminars, online resources, and self-directed study programs tailored to individual needs. New staff and Board members can use a dedicated onboarding platform that explains the FPAS Mark II framework, its analytical foundations, and the basics of monetary and macroeconomic policy. The Global Forecasting School, run jointly with The Better Policy Project, gives economists direct exposure to real policy debates and hands-on analytical work under expert supervision. It operates more like a workshop than a classroom.

Coaching and collaboration play a central role. Senior economists and managers provide regular guidance on analytical work, presentations, and research. Work is often done in teams so that knowledge circulates quickly and ideas are tested from multiple angles. A structured mentorship system pairs less experienced staff with more seasoned colleagues who can provide both technical advice and broader career guidance.

Feedback is not limited to annual performance reviews. It is part of everyday life. After presentations, during weekly meetings, and in informal conversations, staff are encouraged to give and receive feedback in a way that is timely, specific, and constructive. This culture of open feedback helps people recognize their strengths and address weaknesses before they become entrenched. It also relies on mutual respect: giving thoughtful feedback is seen as a professional responsibility, and receiving it with openness is an expectation.

Finally, the learning environment is not inward-looking. FPAS Mark II places strong emphasis on external exposure. Staff regularly participate in regional workshops, collaborate with partner central banks, attend international seminars and conferences, and engage in research exchanges with academic and policy institutions. International advisers, visiting researchers, and colleagues from peer institutions provide fresh perspectives and help ensure that the CBA stays aligned with global best practices in uncertainty-aware policymaking.

These elements together form a pipeline for future leaders—economists who can design scenarios, prepare Executive Briefings, and guide the Board through complex decisions under uncertainty. But for this to work, there must be clear standards.

In the Monetary Policy Department, being a macroeconomist means meeting high expectations across four pillars. First, current economic analysis: economists must be able to assess real, external, financial, and fiscal developments, separate noise from signal, and explain the forces driving the economy today. Second, scenario building and policy analysis: they must be able to construct coherent medium-term narratives, link

these to the New Keynesian framework, and assess the policy implications, always with a least-regrets mindset. Third, communication: they must translate complex analysis into clear, well-structured messages for the Board and for the public, contributing to policy notes, internal briefings, and the Monetary Policy Report. And fourth, modern macroeconomics and research: they need strong theoretical foundations and the ability to conduct empirical or conceptual work that informs policy and strengthens the institution's analytical capacity.

On top of this, strong bilingual proficiency in Armenian and English, solid quantitative skills, and comfort with modern programming languages like R, Python, MATLAB, or Julia are expected. These are not just technical details; they are the tools that make high-quality analysis possible.

To provide structure and clarity, FPAS Mark II is supported by a human-capital system built around clear levels and certification through the Global Forecasting School. Economists advance through a sequence of levels, from entry stage to senior leadership, based on demonstrated competence rather than tenure alone. At the early levels, the emphasis is on mastering current analysis, scenario building, and communication. As they progress, economists are expected to lead research, develop models and tools, mentor colleagues, and eventually shape the analytical direction of the institution.

Progression is time-bound but not automatic. Typically, each level spans about one to two and a half years, with explicit expectations around skills, outputs, and responsibilities. This structure helps keep skills fresh, ensures that the department remains dynamic, and creates a healthy flow of talent within the institution and across the broader economy. Economists who eventually leave the department carry with them rigorous habits and disciplined ways of thinking, strengthening other institutions in Armenia.

In FPAS Mark II, learning itself becomes a source of credibility. A central bank that acknowledges past errors, upgrades its tools, improves its communication, and adapts its framework is one that earns public trust. Human capital is not a complement to the system; it is one of its foundations. Models, dashboards, and frameworks matter—but without skilled, motivated, and continuously learning people behind them, they cannot deliver what modern monetary policy requires.

Thank you for watching, and I would like to acknowledge Douglas Laxton, Jared Laxton, Asya Kostanyan, and Sopio Mkervolidze at the Global Forecasting School for their guidance and support in producing this video.

See you in the next session!